

# Claims Quality Assurance and Audit Program

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## Claims Quality Assurance and Audit Program

**Document ID:** MMIC-QA-2025

**Audience:** Claims operations leadership and quality review staff

**Effective:** June 1, 2025

\*This document expands on the quality-review overview in the Claims Handling Procedures Manual, Section 4, with the full audit program structure.\*

### 1. Program Purpose

The quality assurance program exists to catch and correct adjudication errors — particularly wrong-policy-version matching and miscomputed payouts — before they become a pattern, and to produce the evidence that Meridian Mutual's adjudication process is applied consistently, for both internal governance and regulatory review under the Ohio Unfair Claims Settlement Practices Reference.

### 2. Audit Sample Selection

Each month, a sample of completed claims is selected combining random selection (to detect issues not otherwise visible) and targeted selection (all SIU-referred claims, all claims with a computed payout above a threshold amount, and all claims where the governing policy form version changed at renewal during the claim's policy period).

### 3. Audit Checklist

An audited claim is checked against: correct identification of the governing Policy Form version for the date of loss (Adjudication Guidelines Step 1); correct identification of selected coverage parts, limits, and deductibles from the Declarations page (Step 2); correct application or non-application of any exclusion (Step 3); correct computation inputs and arithmetic for the payout (Step 4), confirmed as having been produced by the deterministic calculation service rather than manually entered; and complete citation of the specific policy sections relied upon (Step 5 and the Claims Handling Procedures Manual, Section 3.1).

## 4. Severity Classification of Findings

A finding is classified as **Critical** (wrong policy version used, or a payout not produced by the deterministic calculation service), **Material** (an exclusion analysis error affecting the outcome), or **Documentation** (correct outcome, incomplete citation or file documentation). Critical findings trigger immediate claim reopening under the Claims Handling Procedures Manual, Section 4.2; Documentation findings are corrected without reopening the underlying determination.

## 5. Root Cause Analysis

A Critical or Material finding is followed by root cause analysis: was the error a one-time lapse, or does it indicate a gap in guidance (for example, an ambiguous provision that the Coverage Interpretation Notes should address) or a systemic tooling issue? A finding traced to ambiguous guidance results in an update to the relevant reference document, not just correction of the individual claim.

## 6. Reporting

Aggregate audit findings — not individual claim details — are reported monthly to claims operations leadership, tracking finding rate by severity classification and by root cause category over time, so a worsening trend is visible before it becomes a larger compliance issue.

## 7. Relationship to External Regulatory Examination

This internal program is independent of, but complementary to, any external regulatory market conduct examination. The documentation standards in Section 3 are designed so that a claim file that passes internal audit would also withstand external examination against the Ohio Unfair Claims Settlement Practices Reference's requirements.

## 8. Continuous Improvement Loop

Audit findings, complaint patterns from the Complaint Handling Procedure, and SIU referral outcomes are reviewed together quarterly to identify whether any single provision, exclusion, or endorsement is a disproportionate source of adjudication difficulty — and if so, whether the underlying documentation (this corpus itself, in effect) needs revision.